



AALOK SHANGHVI
EVP-EMERGING
MARKETS,
SUN PHARMA

“With a strong distribution network and local manufacturing, we have been growing in emerging markets on the back of new product launches”



ABHAY GANDHI
CHIEF EXECUTIVE
OFFICER, NORTH AMERICA
BUSINESS, SUN PHARMA

“Going forward, our focus will be on enhancing our share of specialty business in dermatology, ophthalmology and onco-derm segments”



KIRTI GANORKAR
CHIEF EXECUTIVE
OFFICER, INDIA
BUSINESS, SUN PHARMA

“Over the past few years, we’ve expanded our field force... [to] Tier II and III towns... [This] is enabling us to expand our geographical footprint”



PARAM DESAI
SENIOR RESEARCH
ANALYST, PRABHUDAS
LILLADHER

“Sun Pharma faces intense competition in generics... However, in the specialty segment and other medicines, it should perform well”

en by a mix of specialty, ROW and India markets. “We see the company delivering 8-10 per cent revenue growth on a sustainable basis. Along with India, Sun Pharma is also expanding its team of medical representatives and scaling up its franchise. It is increasing its physical penetration, and along with R&D, these three factors will drive the business,” says Param Desai, Senior Research Analyst at Prabhudas Lilladher, adding that 60-70 per cent of the growth is expected to come from specialty products.

Despite some hiccups, the company has done well. Two big challenges have been the acquisitions of Ranbaxy and Israel’s Taro. After acquiring Ranbaxy, Sun Pharma had to manage debt restructuring, cash flows and maximise its return on investment. Plus, Ranbaxy had regulatory compliance issues, requiring Sun Pharma to invest in improving quality control and manufacturing practices to regain compliance. Integrating operations, improving overall quality control, managing finances, and navigating a competitive market were also significant challenges.

On the other hand, Taro, which specialises in the development, manufacturing, and marketing of prescription and over-the-counter (OTC) pharma products, has seen unsteady growth over the years, courtesy regulatory issues, pricing pressures, and competition in the generics market. “Taro, however, was a successful deal, but in the past few years, growth has been flattish because of

price erosion, rising competition and lack of meaningful launches,” says Desai, adding that this contributed to lower earnings.

He has a point. Sun Pharma’s revenue contribution from the US market fell from around 46 per cent in FY17 to 30.5 per cent in FY22. Almost half of that gap has been filled in by India, whose contribution to consolidated revenue has risen from about 27 per cent in FY17 to nearly 35 per cent in FY22, showcasing the rising importance of the domestic market to the company’s fortunes. This trend is expected to continue. “Sun Pharma faces intense competition in the generics business, and it is expected to underperform in this segment. However, in the specialty segment and other medicines, it should perform well,” says Desai. “In the specialty business, once a product is established, it experiences good growth despite pricing pressure. This segment has a more favourable and sticky business mix. The benefits of this transition have been visible in the last two years.”

Clearly, the billionaire from Dawa Bazar has rediscovered his rhythm, and looks good for more. And that can only be good news for his company as it navigates the complex world of medicines in times to come. **BT**

With inputs from Rahul Oberoi

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